

Failures over time. Failures happened at about the same rate over all decades studied, with the 2000s showing the most and the 1990s showing the least. These “failures” are breakeven failures, that is, failure of the stock to drop more than 5% after the breakout.

Table 6.8 Performance and Failures Over Time for Bull Markets

Description	Bull Market
1990s	−18%
2000s	−15%
2010s	−16%
Performance (above), Failures (below)	
1990s	13%
2000s	16%
2010s	14%

Table 6.9 Busted Patterns

Description	Bull Market	Bear Market
Busted patterns count	693 or 38%	101 or 18%
Single bust count	466 or 67%	57 or 56%
Double bust count	15 or 2%	3 or 3%
Triple+ bust count	212 or 31%	41 or 41%
Performance for all busted patterns	38%	34%
Single busted performance	55%	55%
Non-busted performance (big W)	46%	30%

Table 6.9 shows how busted patterns performed. As you will recall, a busted big M happens when price breaks out downward, drops less than 10% (an arbitrary amount), reverses, and closes above the top of the big M (above the higher of the two peaks). The new, upward breakout busts the downward one. Multiple busts can follow.

Busted patterns count. Because the sample count for big Ms was high, I found quite a number of busted ones, from a sprinkling in bear markets